

Refining Remodeling & Reshaping the *future*



Arpico Insurance PLC
Interim Financial Statements - Quarter 2 - 2024

Income Statement

For the period ended 30 June	Note	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Gross Written Premium	4	968,644,906	1,306,083,723
Premium ceded to reinsurers	5	(44,040,251)	(55,543,005)
Net written premium		924,604,655	1,250,540,718
Other revenue			
Fees and commission income		12,511,417	18,263,856
Investment income	6	289,885,777	297,941,638
Fair value gains		7,446,644	9,630,334
Other operating revenue		1,044,064	3,498,957
Total Other revenue		310,887,902	329,334,785
Total net revenue		1,235,492,557	1,579,875,503
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(580,256,133)	(715,939,950)
Net change in insurance claims outstanding		(10,850,543)	(6,695,304)
Underwriting and net acquisition costs		(263,662,793)	(309,767,394)
Change in contract liabilities - life fund	7	163,800,513	8,973,460
Other operating, administrative and selling expenses		(353,813,890)	(384,832,304)
Depreciation and amortisation		(59,378,158)	(47,898,637)
Total benefits, claims and expenses		(1,104,161,004)	(1,456,160,129)
Profit/(Loss) before Taxation		131,331,553	123,715,374
Income Tax Expense	8	(35,168,014)	(34,164,630)
Profit/(Loss) for the Period	9	96,163,539	89,550,744
Profit/(Loss) attributable to:			
Equity holders of the Company		96,163,539	89,550,744
Basic Earning per Share (LKR)		1.45	1.35
Diluted Earning per Share (LKR)		1.45	1.35

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Statement of Other Comprehensive Income

For the period ended 30 June	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Profit/(Loss) for the Period	96,163,539	89,550,744
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	74,647,152	(78,579,016)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	(12,126,785)	
Net change in fair value of AFS reserve transferred to insurance Liabilities	12,126,785	13,145,799
Items that will never be reclassified to profit or loss		
Actuarial loss on defined benefit plan		-
Total Other comprehensive income, net of tax	<u>74,647,152</u>	<u>(65,433,217)</u>
Total comprehensive Income/(Loss) for the Period, Net of Tax	<u>170,810,691</u>	<u>24,117,527</u>

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Income Statement

For three months ended 30 June	Un Audited 2024 LKR	Un Audited 2023 LKR
Gross Written Premium	400,404,408	575,937,228
Premium ceded to reinsurers	(21,771,889)	(31,862,552)
Net written premium	378,632,519	544,074,676
Other revenue		
Fees and commission income	7,215,476	11,696,200
Investment income	152,057,021	152,841,542
Fair value gains	3,308,032	5,912,667
Other operating revenue	518,476	(292,991)
Total Other revenue	163,099,005	170,157,418
Total net revenue	541,731,524	714,232,094
Benefits, claims and expenses		
Net Insurance Benefits and Claims Paid	(259,026,995)	(313,342,297)
Net change in insurance claims outstanding	(10,102,472)	(12,190,042)
Underwriting and net acquisition costs	(165,834,556)	(156,659,555)
Change in contract liabilities - life fund	176,828,280	19,219,838
Other operating, administrative and selling expenses	(183,619,156)	(161,066,802)
Depreciation and amortisation	(35,068,560)	(26,010,105)
Total benefits, claims and expenses	(476,823,459)	(650,048,963)
Profit/(Loss) before Taxation	64,908,065	64,183,131
Income Tax Expense	(15,987,974)	(17,292,910)
Profit/(Loss) for the Period	48,920,091	46,890,221
Profit/(Loss) attributable to:		
Equity holders of the Company	48,920,091	46,890,221
Basic Earning per Share (LKR)	0.74	0.71
Diluted Earning per Share (LKR)	0.74	0.71

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Statament of Other Comprehensive Income

	Un Audited 2024 LKR	Un Audited 2023 LKR
For three months ended 30 June		
Profit/(Loss) for the Period	48,920,091	46,890,221
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	(50,938,642)	41,995,000
Net change in liabilities of insurance contracts arising from fair	21,059,151	
Net change in fair value of AFS reserve transferred to insurance Liabilities	(21,059,151)	(11,453,000)
Items that will never be reclassified to profit or loss		
Total Other comprehensive income, net of tax	<u>(50,938,642)</u>	<u>30,542,000</u>
Total comprehensive Income/(Loss) for the Period, Net of Tax	<u>(2,018,551)</u>	<u>77,432,221</u>

STATEMENT OF FINANCIAL POSITION

As at	Note	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Assets			
Intangible assets		630,831	767,227
Property, plant and equipment		53,067,329	60,343,336
Right of use assets	10	158,786,017	198,167,665
Financial assets	11	4,100,834,739	3,949,884,217
Loans to life policyholders		202,054,128	241,246,301
Reinsurance receivables		1,680,808	11,108,850
Amounts due from related parties	13	36,773,156	30,985,542
Premium receivable		48,936,072	91,475,027
Other assets		166,688,112	175,300,704
Cash and cash equivalents		69,083,691	56,396,474
Total Assets		4,838,534,883	4,815,675,344
Equity and Liabilities			
Equity			
Stated capital	16	675,564,870	675,564,870
Retained earnings		866,612,419	770,448,880
Available for sale reserves		39,110,147	(35,537,005)
Total Equity		1,581,287,436	1,410,476,745
Liabilities			
Insurance contract liabilities	12	2,734,189,271	2,885,863,883
Employee benefit obligation		18,016,547	15,667,480
Reinsurance payables		22,865,697	37,579,204
Lease liabilities	10	180,396,491	221,777,381
Amounts due to related parties	13	58,775,971	49,590,990
Other financial liabilities		151,494,547	126,283,782
Other liabilities		91,508,922	68,435,879
Total Liabilities		3,257,247,446	3,405,198,600
Total Equity and Liabilities		4,838,534,882	4,815,675,345

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

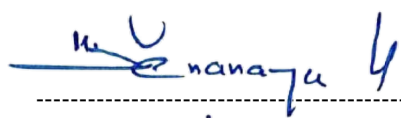


S.H. Dulanjith Kaweesha
Financial Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Ramal Jasinghe
Chairman
06, August 2024
Colombo.



Kelum Senanayake
Director/Chief Executive officer

Arpico Insurance PLC
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STATEMENT OF CHANGES IN EQUITY

	Stated Capital LKR	AFS Reserve LKR	Retained Earnings LKR	Total LKR
Audited Balance as at 01 January 2023	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
Profit for the period			89,550,523	89,550,523
Actuarial loss on defined benefit plan			-	-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		78,579,016		78,579,016
Total Comprehensive Income for the Period, Net of Tax				
Un-Audited Balance as at 30th June 2023	675,564,870	(138,113,936)	1,547,996,244	2,085,447,178
Profit/(Loss) for the period			(773,382,449)	(773,382,449)
Actuarial loss on defined benefit plan			(4,164,915)	(4,164,915)
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		102,576,931		102,576,931
Total Comprehensive Income for the Period, Net of Tax				
Audited Balance as at 31th December 2023	675,564,870	(35,537,005)	770,448,880	1,410,476,745
Profit/(Loss) for the period			96,163,539	96,163,539
Actuarial loss on defined benefit plan				-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		74,647,152		74,647,152
Total Comprehensive Income for the Period, Net of Tax				
Unaudited Balance as at 30 June 2024	675,564,870	39,110,147	866,612,419	1,581,287,436

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STATEMENT OF CASH FLOWS

For the period ended 30 June	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Cash flows from operating activities		
Insurance premium received	1,018,269,959	1,232,695,376
Reinsurance premium paid	(58,753,758)	(20,000,000)
Insurance benefits and claims paid	(591,181,556)	(760,138,443)
Reinsurance claim received	9,428,042	26,409,214
Other operating cash flows	(518,026,419)	(719,013,857)
Cash generated from operating activities	(140,263,732)	(240,047,710)
 Tax Paid	 (10,092,123)	 -
Employee benefits paid	(869,185)	(245,527)
Net cash generated from operating activities	(151,225,040)	(240,293,237)
 Cash flows from investing activities		
Acquisition of financial investments	(473,622,042)	(999,210,037)
Proceeds from sale/maturity of investment securities	396,428,934	(10,306,761)
Interest/Dividend received	289,885,777	737,774,973
Acquisition of property, plant and equipment	(51,965,754)	491,270,325
Net Cash Used in Investing Activities	160,726,915	219,528,500
 Net Cash Flows Before Financing Activities	9,501,875	(20,764,737)
 Cash flows from financing activities		
Rent Advance/ payments paid for Right of Use Assets	3,185,342	(1,020,730)
Net cash used in financing activities	3,185,342	-
 Net increase / (Decrease) in cash and cash equivalents	 12,687,217	 (21,785,467)
Cash and cash equivalents at the beginning of the year	56,396,474	169,799,599
Cash and cash equivalents at the end of the period	69,083,691	148,014,132

Notes to the Financial Statements

1. Reporting Entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, High level Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

2. Approval of Financial Statements

The Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended 30 June 2024 were authorised for issue by the Board of Directors on 6th August 2024.

3. Basis of Preparation

The Financial Statements of the Company have been prepared on an accrual basis under the historical cost convention and applied consistently with no adjustment being made for inflationary factors affecting the Financial Statements except for the financial assets available for sale and financial assets designated at fair value through profit or loss which are measured at fair value.

The Condensed Consolidated Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard "LKAS 34 – Interim Financial Reporting". These Interim Financial Statements should be read in conjunction with the Annual Financial Statements for the year ended 31 December 2023. Furthermore, provisions of the Companies Act No. 07 of 2007 have been considered in preparing the Condensed Consolidated Interim Financial Statements of the Company.

The same accounting policies have been followed in preparation of these Interim Financial Statements as stated in the Audited Financial Statements for the year ended 31 December 2023.

4. Gross Written Premium

For the Period Ended 30 June	Un-Audited 2024 LKR	Un-Audited 2023 LKR
First year premium	277,435,898	423,841,921
Renewal premium	437,181,772	518,071,410
Group premium	254,027,236	364,170,392
	968,644,906	1,306,083,723

5. Premium Ceded To Reinsurers On Insurance Contracts

For the Period Ended 30 June	Un-Audited 2024 LKR '000	Un-Audited 2023 LKR '000
Conventional policies		
Total premium ceded to reinsurers	44,040,251	55,543,005
Total net written premium	924,604,655	1,250,540,718

Notes to the Financial Statements

6. Investment income

For the Period Ended 30 June	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Held to maturity financial assets		
Interest Income	87,816,949	119,071,254
Loans and receivables		
Interest Income	166,255,594	130,174,245
Available For Sale Financial Assets		
Interest Income	35,813,234	48,696,139
	<u>289,885,777</u>	<u>297,941,638</u>

7. Change in contract liabilities - life fund

As per the requirement of SLFRS 4, the Liability Adequacy Test with respect to Life insurance provision was performed as at 31st December 2023.

8. Income Tax Expense

For the Period Ended 30 June	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Income tax on current period profit	35,168,014	34,164,630
Total current income tax	<u>35,168,014</u>	<u>34,164,630</u>

9. Profit/(Loss) from life insurance

-

No surplus or deficit transfer has been made from the life insurance fund to the Income Statement for quarter ended 30th June 2024.

10. Right of Use Assets

As at	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Opening balance	198,167,665	163,439,549
Additions of right of use lease asset during the period	-	120,713,332
Depreciation for the period	(44,125,871)	(98,707,883)
Advance payment for leases	4,744,223	12,722,667
Closing balance	<u>158,786,017</u>	<u>198,167,665</u>
Lease liabilities		
As at	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Opening balance	221,777,381	175,394,254
Additions during the period	-	120,713,332
Finance cost recognised in profit and loss	16,425,790	41,208,804
Lease payments	(57,806,680)	(115,539,009)
Closing balance	<u>180,396,491</u>	<u>221,777,381</u>

Notes to the Financial Statements

11. Financial Assets

As at	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Loans and receivables (11.1)	2,355,534,661	2,193,341,372
Available-for-sale financial assets (11.2)	623,594,458	547,159,911
Held to Maturity (11.3)	995,919,964	1,091,046,901
Fair Value through profit & Loss (11.4)	125,785,656	118,336,033
	4,100,834,739	3,949,884,217

11.1 Loans and receivables	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Amortised cost		
Debentures	488,137,124	653,557,573
Fixed deposit	1,178,792,033	1,114,975,140
Reverse repurchase agreements	544,977,215	242,836,584
RPAF loan	100,002,260	100,000,000
Treasury bills	43,626,029	81,972,074
	2,355,534,661	2,193,341,372
	-	-
Available-for-sale financial assets		
	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
11.2 Treasury bonds	303,637,816	300,321,631
Quoted equities	319,956,642	246,838,280
	623,594,458	547,159,911

11.3 Held to Maturity	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Treasury bonds	995,919,964	1,091,046,901
	995,919,964	1,091,046,901
	-	-

11.4 Fair Value through profit & Loss	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Unit trust	125,785,656	118,336,033
	125,785,656	118,336,033
	-	-

12. Insurance Contract Liabilities

As at	Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Balance as at 1 January	2,885,863,000	2,241,859,388
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(163,800,514)	(357,222,576)
Surplus transferred from / (to) shareholders	-	948,956,234
Increase in life insurance fund	2,722,062,486	591,733,658
Movement in AFS reserve transferred to life fund	12,126,785	52,270,837
Life Insurance Fund balance as at period end	2,734,189,271	2,885,863,883

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13. Related Party Transactions

13.1 Amounts Due to Related Party

As at		Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	21,745,434	11,696,838
Richard Pieris Distributors Limited	Fellow Subsidiary	37,030,537	37,894,152
		<u>58,775,971</u>	<u>49,590,990</u>

13.2 Amounts Due From Related Parties

As at		Un-Audited 30.06.2024 LKR	Audited 31.12.2023 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	-	30,985,542
Richard Pieris Distributors Limited	Fellow Subsidiary	36,773,156	-
		<u>36,773,156</u>	<u>30,985,542</u>

14. Contingent Liabilities

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30 June 2024, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

15. Events Occurring After The Reporting Date

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

16. Stated Capital

As at 30 June	Un-Audited 2024 LKR	Audited 2023 LKR
Ordinary Shares	675,564,870	675,564,870
	<u>675,564,870</u>	<u>675,564,870</u>
No of Ordinary Shares	66,230,407	66,230,407

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17. Share Information

17.1 Net Assets Per Share

As at 30 June	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Net Assets Per Share	23.88	31.49

17.2 Market Price Per Share

For the quarter ended 30 June	2024 LKR	2023 LKR
Highest Price	26.80	20.80
Lowest Price	21.00	18.00
Closing Price	23.80	18.10
Market Capitalization	1,576,283,687	1,053,063,471
Float Adjusted Market capitalization	157,803,615	105,423,424

18. Public Shareholding

For the quarter ended 30 June	2024 No of Shares	%	2023 No of Shares	%
Public Shareholding	6,630,404	10%	6,630,404	10%

19. Directors' Shareholding

As at 30 June	2024	2023
Mrs. Lasinee Serasinhe (Ceased to hold office w.e.f. 27th May 2024)	N/A	Nil
Mr.Ramal Jasinghe	Nil	Nil
Mr.Kelum Senanayake	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil
Mr.Yudhishtan Kanagasabai (Appointed w.e.f 18th July 2024)	Nil	Nil

20. Twenty Largest Shareholders as at 30 June 2024

Name of Shareholder	No of Shares	%
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29%
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86%
3 RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84%
4 MR.D.G.WIJEMANNA	1,734,588	2.62%
5 MRS.T.T.A.DE SILVA WEERASOORIA	1,101,076	1.66%
6 MR.C.S.N.SILVAPULLE	668,399	1.01%
7 MR.B.T.DE S WEERASOORIA	257,678	0.39%
8 MR.J.P.PAUL	252,285	0.38%
9 T R L HOLDINGS (PVT) LIMITED	250,000	0.38%
10 MR.A.P.ARUMUGAMPILLAI	200,000	0.30%
11 MR.R.P.WEERASOORIYA	196,980	0.30%
12 MR.D.P.NAVARATNAM	180,000	0.27%
13 MR.S.A.OBEYESEKERE	103,300	0.16%
14 TRADING PARTNERS (PVT) LTD	100,000	0.15%
15 FLYBRUNEI SDN BHD	99,700	0.15%
16 MR.T.A.N.GOMIS	98,675	0.15%
17 MR.M.L.A.BENEDICT	93,500	0.14%
18 PEOPLES LEASING & FINANCE PLC/MR.K.	86,531	0.13%
19 MR.H.A.S.MADANAYAKE	78,300	0.12%
20 MRS.K.ELANKAINESAN	70,000	0.11%
	65,171,015	98.40%
Others	1,059,392	1.60%
Total	66,230,407	100.00%